The decline of the Japanese Yen

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20%

Of value lost against USD since 2022.

1 USD = 115.33 JPY on the 3th of January 2022

1 USD = 161 JPY on the 11th of July 2024



Kihara, L., Sachdev, V., Jayaram, K., & Crawshaw, D. (2024, August 8). *Bank of Japan yen intervention: A short history*. Reuters. Retrieved November 4, 2024, from https://www.reuters.com/graphics/JAPAN-YEN/EXPLAINER/xmvjnxjmbvr/#

1950's

Reconstruction and growth

GDP: $13 billion (1950) to $45 billion (1960)

- Economic reconstruction fueled by: U.S. aid, industrial policies ↑ manufacturing and exports
- Government collaborated with industries, encouraging sectors like steel, automotive, and electronics.
- Invested heavily in education and technology, fostering a skilled workforce and leading to rapid innovation.
- Developed an export-driven economy, benefiting from a high global demand for Japanese goods.

Q, I. (2024, September 20). *Japanese Yen Analysis & Forecast In 2024/2025/2026: Should I Buy USD/JPY Or Other JPY Currency Pairs?* Mitrade. Retrieved November 4, 2024, from https://www.mitrade.com/insights/forex/forex-basic/japanese-yen-JPY-currency-pairs
O'Neill, A. (2024, July 4). *Japan: GDP 1980-2029*. Statista. Retrieved November 5, 2024, from https://www.statista.com/statistics/263578/gross-domestic-product-gdp-of-japan/

1960’s

Reconstruction and growth

1970’s

Oil shocks & export led growth

GDP: $212 billion (1970) to ~$1 trillion (1980)

- Rapid growth with industrialization, focusing on exports - automotive and electronics.
- Oil crises raised energy costs, but Japan invested in energy efficiency. High export demand for cars and electronics sustained GDP growth.

Q, I. (2024, September 20). *Japanese Yen Analysis & Forecast In 2024/2025/2026: Should I Buy USD/JPY Or Other JPY Currency Pairs?* Mitrade. Retrieved November 4, 2024, from https://www.mitrade.com/insights/forex/forex-basic/japanese-yen-JPY-currency-pairs O'Neill, A. (2024, July 4). *Japan: GDP 1980-2029*. Statista. Retrieved November 5, 2024, from https://www.statista.com/statistics/263578/gross-domestic-product-gdp-of-japan/

1980's

Economic bubble

GDP: Reached $3.1 trillion by 1990

- BOJ kept interest rates low to promote economic growth. Speculation, marketability of assets, ease of access to credit.
- Real estate prices soared
- GDP was boosted by the strong exports & weak yen
- JPY appreciation after the Plaza Accord contributed to the slowdown, BOJ raised interest rates and the bubble burst
- Higher borrowing costs led to asset sell-offs, plunging property and stock prices.

Q, I. (2024, September 20). *Japanese Yen Analysis & Forecast In 2024/2025/2026: Should I Buy USD/JPY Or Other JPY Currency Pairs?* Mitrade. Retrieved November 4, 2024, from https://www.mitrade.com/insights/forex/forex-basic/japanese-yen-JPY-currency-pairs
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1990's

The lost decade

$4.9 trillion by 2000

2010's - present

Slow growth

$4.1 trillion in 2024

- The bubble burst caused deflation and economic stagnation.
- Speculative investments had inflated asset prices to unsustainable levels.
- Abenomics - revive economic growth, end deflation. Promising short term but still faced problems with low inflation and demographic pressures.

Q, I. (2024, September 20). *Japanese Yen Analysis & Forecast In 2024/2025/2026: Should I Buy USD/JPY Or Other JPY Currency Pairs?* Mitrade. Retrieved November 4, 2024, from https://www.mitrade.com/insights/forex/forex-basic/japanese-yen-JPY-currency-pairs
O'Neill, A. (2024, July 4). *Japan: GDP 1980-2029*. Statista. Retrieved November 5, 2024, from https://www.statista.com/statistics/263578/gross-domestic-product-gdp-of-japan/

2024

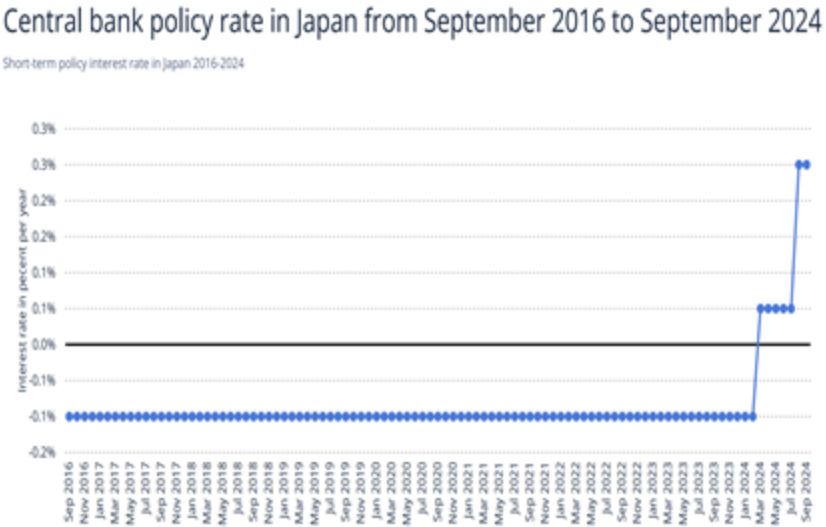
News search:

Japan ends the world's greatest monetary-policy experiment

For the first time in 17 years, officials raise interest rates



The sun sets on an era PHOTOGRAPH: GETTY IMAGES



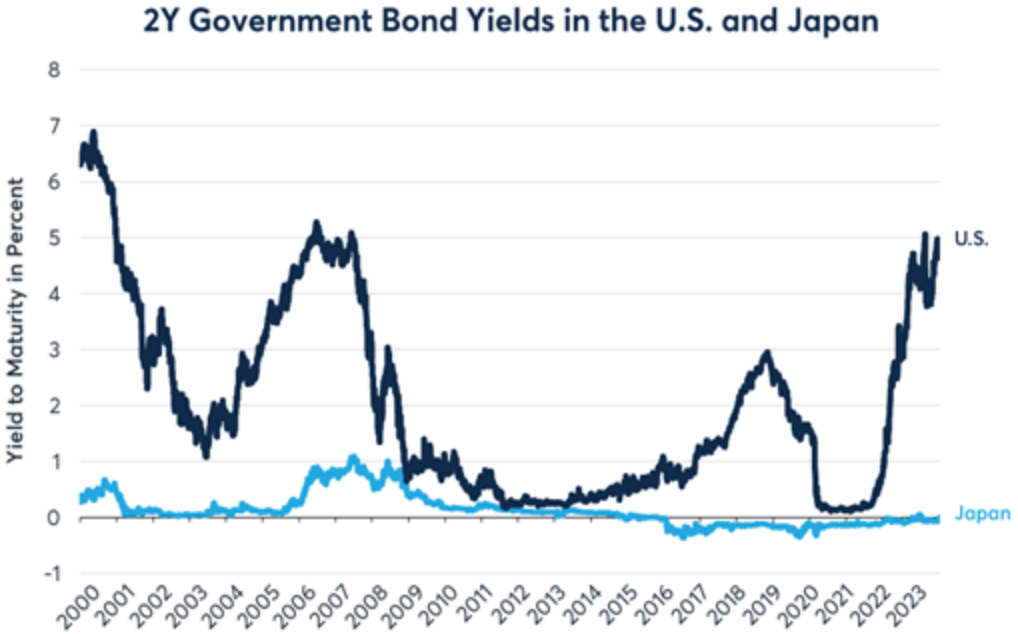
Japan ends the world's greatest monetary-policy experiment." *The Economist*, 19 March 2024,
Japan: central bank interest rate 2024 Website title:Statista URL:https://www.statista.com/statistics/1351516/japan-central-bank-policy-rate/
Published year: 2024

How Interest Rate affects the ¥ ?

Interest gaps : sell ¥

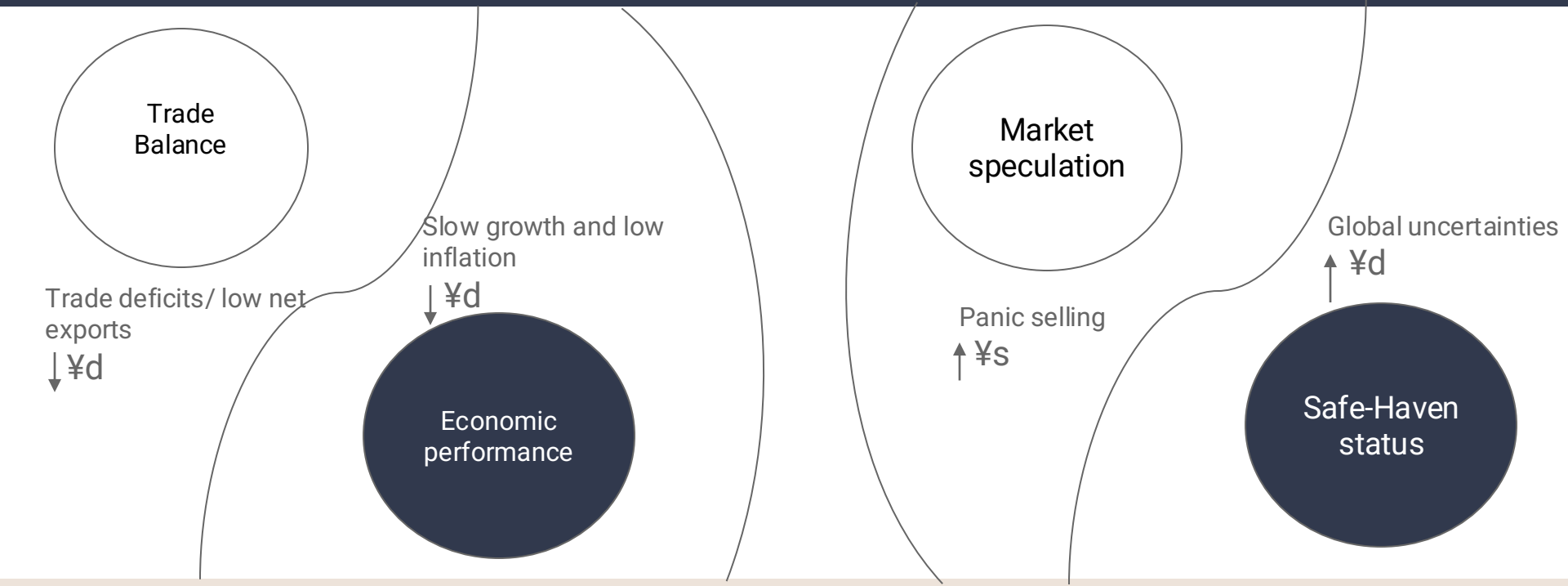
Carry Trade: borrow in yen for l

Real Interest Rates : Inflation ↑ nominal i ↑



Four Factors That Impact Yen-Dollar Exchange Rate. (2023, August 02). CME Group. Retrieved November 4, 2024, from https://www.cmegroup.com/insights/economic-research/2023/four-factors-that-impact-yen-dollar-exchange-rate.html

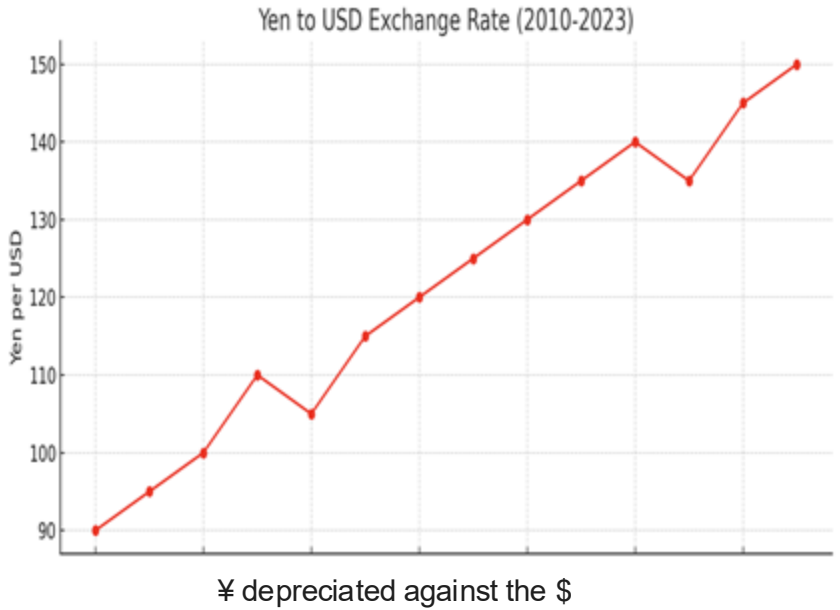
Factors Affecting ¥ Demand and Supply



Demand and Supply Shifts in Foreign Exchange Markets | Macroeconomics |. Course Sidekick, from https://courses.lumenlearning.com/wm-macroeconomics/chapter/demand-and-supply-shifts-in-foreign-exchange-markets/

Exchange rate

Currency	Symbol	Exchange Rate to USD
Euro	€	1 USD ≈ 0.92 EUR
Japanese Yen	¥	1 USD ≈ 152 JPY
British Pound	£	1 USD ≈ 0.77 GBP
Indian Rupee	₹	1 USD ≈ 84 INR
Canadian Dollar	C$	1 USD ≈ 1.39 CAD



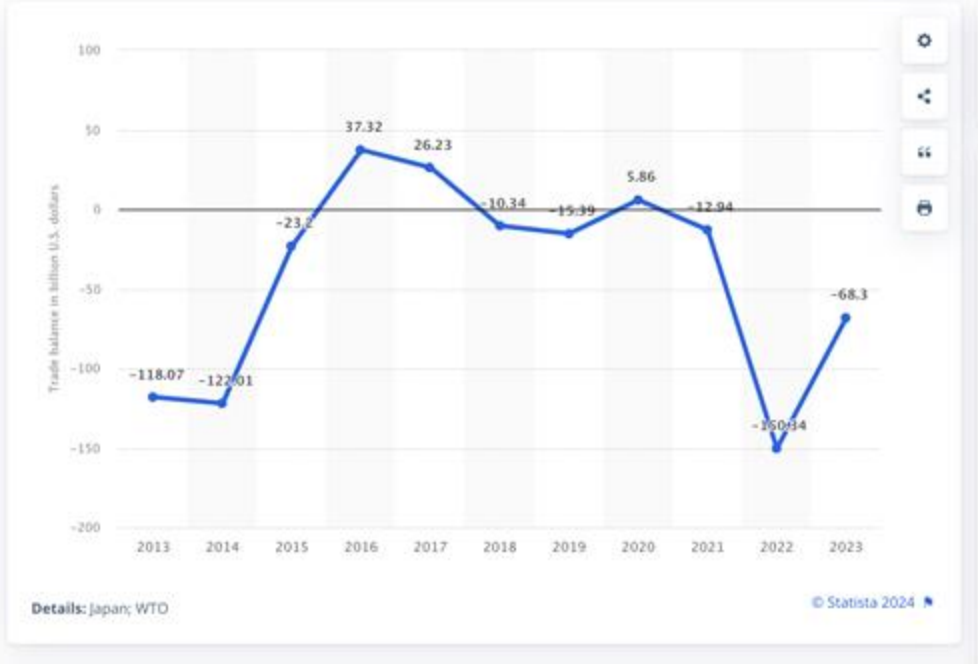
¥ depreciated against the $

Four Factors That Impact Yen-Dollar Exchange Rate. (2023, August 02). CME Group. https://www.cmegroup.com/insights/economic-research/2023/four-factors-that-impact-yen-dollar-exchange-rate.html

Trade balance trend

- Trade deficit
- Global prices surged → Downward pressure on yen
- Increased demand for foreign currencies
- Depreciating yen → Cost of imports ↑

Boost



O'Neill, A. (2024, September 27). *Japan - Trade balance of goods 2023*. Statista. Retrieved November 4, 2024, from https://www.statista.com/statistics/263625/trade-balance-of-japan/

"Japan - Market Overview." *International Trade Administration*, 2 January 2024, https://www.trade.gov/country-commercial-guides/japan-market-overview. Accessed 7 November 2024.

Consumption

Japan household spending logs biggest drop in 35 months in January 2024

- Decreases in new car purchases amid factory suspensions
- Lower energy bills
- Conservative spending
- High CPI

September 2024: Signs of improved personal spending for the first time in more than a year.



Sugiyama, Satoshi, et al. “Japan household spending logs biggest drop in 35 months in January.” *Reuters*, 7 March 2024, https://www.reuters.com/markets/asia/japan-jan-household-spending-logs-biggest-drop-35-months-2024-03-08 /. Accessed 4 November 2024. Sugiyama, Satoshi, and Shri Navaratnam. “Japan consumer spending barely grows, complicates BOJ's rate hike plan.” *Reuters*, 5 September 2024, https://www.reuters.com/markets/asia/japan-july-household-spending-edges-up-01-yy-2024-09-05/ . Accessed 5 November 2024. *Consumption Indicators - Japan*. (2024, August). Statista. Retrieved November 5, 2024, from https://www.statista.com/outlook/co/consumption-indicators/japan#household-income

Consumer Price Index

- **Increasing growth trend**
  - Rising prices in food & gas
  - Covid & Ukraine invasion
- **Current trend**
  - Declining energy prices
  - Cautious consumer behavior
  - Raised interest rate

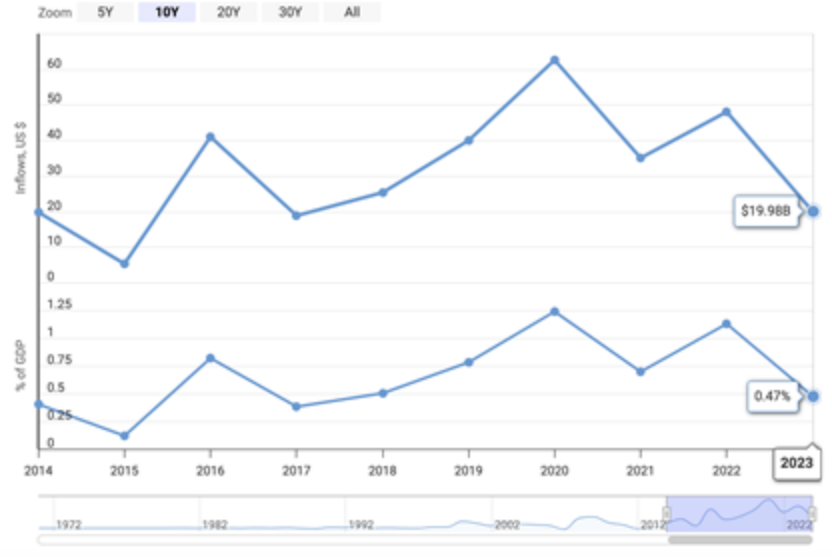
Annual change in the Consumer Price Index (CPI) in Japan from January 2019 to September 2024



“Japan: monthly inflation rate 2024.” *Statista*, 18 October 2024, https://www.statista.com/statistics/267235/monthly-inflation-rate-in-japan/. Accessed 4 November 2024.
https://www.statista.com/study/119853/inflation-in-japan/ O'Neill, A. (2024, September 27). *Japan - Trade balance of goods 2023*. Statista. Retrieved November 4, 2024, from

Foreign Direct Investment

- FDI for 2023 was **$19.98B**, a **58.37% decline** from 2022.
- More attractive foreign interest rates



Macrotrend. “Japan Foreign Direct Investment 1970-2024 | MacroTrends.” *Macrotrends*, 2024, https://www.macrotrends.net/global-metrics/countries/jpn/japan/foreign-direct-investment. Accessed 6 November 2024.

GDP Per Capita

- Geographically prone to natural disasters
- 2021 to 2022 → GDP fell by 15%
- What happened?
  - Cost-of-living crisis
  - Russia-Ukraine war
  - Lingering COVID-19 pandemic

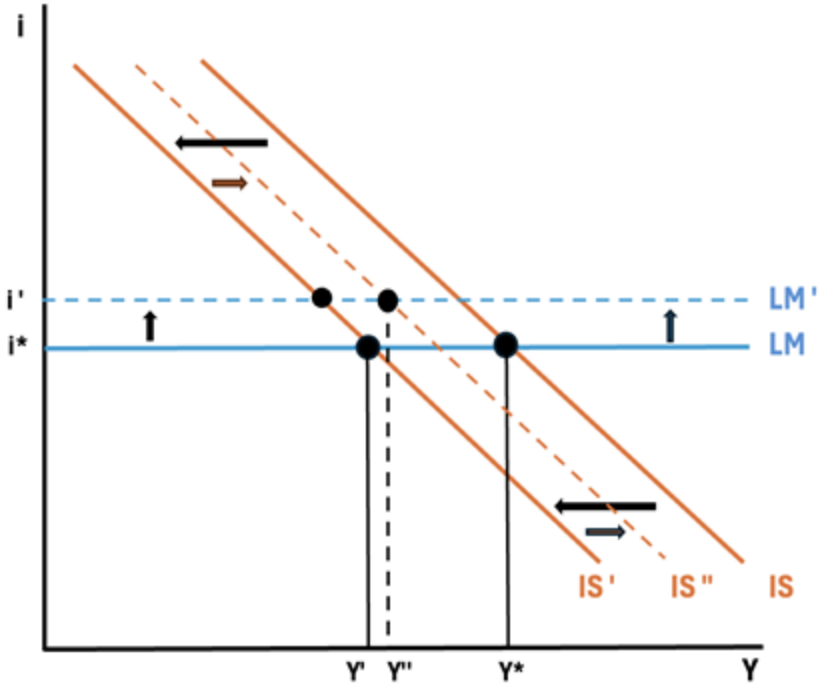


O'Neill, A. (2024, July 4). *Japan - Gross domestic product (GDP) per capita 2029*. Statista. Retrieved November 5, 2024, from https://www.statista.com/statistics/263596/gross-domestic-product-gdp-per-capita-in-japan/

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IS-LM and YCC

- 2022: -C/-I → -Y → -IS → -Md → -i ↯
- YCC policy targets:
  - Short-term bonds: -0,1%
  - Long-term bonds: 0%
  - Boost inflation and economic activity
- 2024: +i → - I → -Y
- Phillips - curve: +π → -U → +Y



Kihara, Leika. “How does Japan's yield curve control work?” *Reuters*, 27 July 2023, https://www.reuters.com/markets/asia/how-does-japans-yield-curve-control-work-2023-07-28/. Accessed 6 November 2024.

Externalities



Japanese corporations reinvested 10.57 trillion yen ($67.8 bn) of overseas profits abroad, more than triple the amount a decade earlier.



With inflation Bank of Japan kept the interest rate low, the weak yen made imports more expensive affecting the consumers

OHAMA, S. (2024, May 11). *Japan companies kept $68bn of overseas profits abroad*. Nikkei Asia. Retrieved November 5, 2024, from https://asia.nikkei.com/Business/Business-trends/Japan-companies-kept-68bn-of-overseas-profits-abroad

Game Theory

U.S. Federal Reserve

	Interest rate	**Higher**	**Lower**
Bank of Japan	**Higher**	2,2	1,3
	Lower	3,1	0,0

Conclusion

Impacts on decline of yen:

1. Lower Monetary Policies than US

1. Import and Export Costs

1. Investments




Central bank policy rate in Japan from Septem
Short-term policy interest rate in Japan 2016-2024
Annual growth rate of real wages in Japan from 2014 to 2023
Annual change in real wages Japan 2014-2023
1.0%
0.8%
-0.8%
0.2%
0.6%
1%
-2.5%
Japan from 2014 to 2023
2022
2023
Canada
France
Germany
Italy
Japan
United Kingdom
United States
8.1%
7.9%
4.3%
3.6%
2.5%
1.9%
1.4%
1.2%
1.1%
Education
Housing
Fuel, light and water charges
-6.7%
100
104.6
114.9
119.7
2021

Thank you

Cabinet Office Japan. “Private residential investment as part of domestic demand in Japan from 2014 to 2023.” *Statista*, September 2024, https://www-statista-com.ezproxy.eada.edu/statistics/628955/japan-private-residential-investment/. Accessed 5 November 2024.

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Gourinchas, Pierre. “World Economic Outlook, October 2022: Countering the Cost-of-Living Crisis.” *International Monetary Fund (IMF)*, 11 October 2022, https://www.imf.org/en/Publications/WEO/Issues/2022/10/11/world-economic-outlook-october-2022. Accessed 6 November 2024.

INUJIMA, AKIRA. “Yen falls on Japan Inc.'s reluctance to repatriate profits.” *Nikkei Asia*, 30 March 2024, https://asia.nikkei.com/Spotlight/Datawatch/Yen-falls-on-Japan-Inc.-s-reluctance-to-repatriate-profits. Accessed 5 November 2024.

“Japan ends the world's greatest monetary-policy experiment.” *The Economist*, 19 March 2024, https://www.economist.com/finance-and-economics/2024/03/19/japan-ends-the-worlds-greatest-monetary-policy-experiment. Accessed 6 November 2024.

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